

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

Samsung Electronics America, Inc.

v.

COSCO Shipping Lines Co. Ltd.

v.

**Samsung Electronics Company, Ltd., Samsung SDS Global SCL Asia Pacific PTE LTD,
and Samsung Electronics Logitech Company, Limited**

**RESPONDENT'S OPPOSITION TO SAMSUNG SDS ASIA PACIFIC PTE LTD's
MOTION TO QUASH**

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INTRODUCTION

In its motion to quash, Samsung SDS Asia Pacific Pte Ltd. (“SDSAP”) does not contend that the documents sought are not highly relevant. Nor does it contend—let alone offer any facts to suggest--that production would be unduly burdensome. Rather, SDSAP says the subpoena is “premature” under the Presiding Officer’s August 13, 2025 Order (Doc. 66) and because discovery has not begun on COSCO’s Third Party claims as SDSAP’s motion to dismiss is *sub judice*. It adds that a subpoena may not be used to obtain documents from SDSAP because it is a respondent in the Third-Party Complaint.

SDSAP’s motion should be denied. As discussed more fully below, the subpoena seeks documents that are highly relevant to Complainant SEA’s claims against COSCO and COSCO’s defenses, and neither the Order nor SDSAP’s motion to dismiss prohibit discovery on Complainant’s claims. Furthermore, the subpoena to SDSAP is entirely proper, and indeed, the only way for COSCO to obtain documents from SDSAP regarding the Amended Complaint.

FACTS

Complainant Samsung Electronics America, Inc. (“SEA”) seeks reparations “totaling at least \$20 million” for what it contends were unjust and unreasonable charges imposed by Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) for demurrage and detention in alleged violation of the Shipping Act. Am. Compl. ¶ 108 (Doc. 26). COSCO denies that it violated the Shipping Act and has asserted a counterclaim against SEA and a Third-Party Complaint against SEA’s parent Samsung Electronics Co., Ltd. (“SEC”); Samsung SDS Asia Pacific Pte Ltd. (“SDSAP”), and Samsung Electronics Logitech Co., Ltd. (“Logitech”) for violations of the Act. Answer and Counterclaim (Doc. 30); Third-Party Complaint (Doc. 31).

SDSAP was directly and intimately involved in the transactions and events at issue in SEA’s claim against COSCO. SDSAP was the signatory to Service Contracts under which

COSCO carried goods from foreign origins to the United States for which Complainant SEA was consignee. COSCO's Counterclaim at ¶ 30 (Doc. 30); see Verified Am. Compl. ¶ 41 (Doc. 26).¹ Beyond controlling the cargo in question at origin as shipper, as documents produced in discovery confirm, SDSAP also coordinated logistics for the cargo for which SEA was consignee, including asking COSCO to check the status of delivery of containers to SEA's final delivery locations and instructing SEA (*see Exhibit A* attached); requesting changes of final delivery locations and interacting with SEA and SEC (*see Exhibit B* attached, at SEA_COSCO-1270837-840) and (*Exhibit C* attached, at SEA_COSCO-1271895-96); was a notify party on bills of lading for SEA's shipments (*see Exhibit D* attached); and was itself a consignee on shipments for which SEA refused to pay COSCO delay charges (*see Exhibit E* attached, at SEA_COSCO-0003686).

Upon COSCO's request, the Presiding Officer issued a subpoena for documents to SDSAP on September 26, 2025. The subpoena was duly served on SDSAP in Singapore under the Hague Convention on November 18, 2025 (Doc. 87). SDSAP filed its motion to quash on November 28, 2025.

LEGAL STANDARD

Commission Rule 131 provides that a subpoena for the production of evidence "shall be issued upon request of any party." 46 C.F.R. § 502.131. The scope of the subpoena is governed by Rule 141(e), which allows a party to "obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). The Presiding Officer

¹ The Service Contracts were filed with the Commission, and the Presiding Officer may take judicial notice of them. 46 C.F.R. § 502.226 (presiding officer may take judicial notice of matters within the technical expertise of the FMC).

may of course limit discovery, but only if the non-party demonstrates that “the burden or expense of the proposed discovery outweighs its likely benefit.” 46 C.F.R. § 502.141(e)(2).

ARGUMENT

I. The Subpoena Seeks Documents that Are Highly Relevant to SEA’s Claims Against COSCO.

The documents sought by COSCO from SDSAP go to the heart of SEA’s claims against COSCO. They include, among others, documents concerning delays in the return of containers and equipment (Request No. 18); the cause of delays and who bears financial responsibility for delays (Request Nos. 6, 7, 17, 18, 19, 20, 21, 22, and 23); charges for delays and the payment or non-payment of those charges (Request Nos. 9-11, 14, 15, 16, 24); requests and actions on requests for refunds, credits, or cancellation of delay charges (Request Nos. 13, 14); COSCO’s alleged refusal to release cargo because of outstanding delay charges (Request No. 21) (*see* Verified Am. Compl. ¶¶ 55-56); drayage of SEA’s cargo (Request No. 29); and communications with others about, and statements by SDSAP and COSCO concerning, this action or its subject matter (Request Nos. 25-27).² These requests are highly probative to SEA’s claims, and COSCO needs the documents sought to prepare its defense.

² Other requests seek documents sufficient to show persons with knowledge (Request No. 1) and SDSAP’s relationship with SEA in providing services and in making contracts (Request No. 2); documents concerning invoices and detention and demurrage charges after the effective date of the Ocean Shipping Reform Act (“OSRA”) (Request No. 24); *see* Verified Am. Compl. Count V – OSRA Unreasonable Charges; documents concerning SEA or others seeking to engage in a dispute resolution process (Request No. 30, *see* Verified Am. Comp. Count VI – Unjust and Unreasonable Dispute Resolution Practices); documents concerning the negotiation and meaning of the applicable service contracts and provisions considered (Request Nos. 5 and 6); and documents about disagreement with or intent not to comply with the service contracts, COSCO’s tariffs, and other requirements (Request No. 31). Request No. 31 principally, but not entirely, concerns COSCO’s Counterclaim (as well as its Third-Party Complaint). But information about the negotiations is relevant to the contractual provisions and the parties’ intent concerning risk, costs, and responsibility for delays, as well as whether SEA acted in good faith.

II. The Subpoena is Not Premature, is Appropriate, and COSCO Would be Prejudiced if the Subpoena is Quashed.

SDSAP's motion rests on the notion that the subpoena is "premature" under the Presiding Officer's August 13, 2025 Order and because discovery has not begun on COSCO's Third-Party Complaint and suggests that issuing a subpoena is improper because it is a Third-Party Respondent. SDSAP's arguments do not support its cause.

As discussed above, the subpoena seeks documents that are highly relevant to SEA's claims against COSCO. The Presiding Officer's instruction in her August 25 Order "that discovery is to continue between the parties to the amended complaint, SEA and COSCO," does not, and should not, be read to prohibit discovery on SEA's claims from persons other than SEA and COSCO. Indeed, in that same Order and in the conference which preceded it, the Presiding Officer directed the Parties to proceed apace with discovery on the amended complaint—not, as SDSAP would have it, to create roadblocks to appropriate and timely discovery and a decision on the merits of SEA's claims.

SDSAP's argument that the subpoena should be quashed because discovery has not begun on COSCO's Third-Party Complaint falls for the same reason: the subpoena seeks discovery relevant to SEA's claims. SDSAP does not, and could not, argue that COSCO (or SEA) may not obtain discovery from non-parties that is relevant to SEA's claims against COSCO (and COSCO's defenses). There is no reason that SDSAP should be immune from a subpoena to produce documents relevant to SEA's Amended Complaint, when non-parties are not.³

³ SDSAP's reliance on *American Action Network v. Cater America, LLC*, 983 F. Supp. 2d 112 (D.D.C. 2013), *Fontenot v. Granite State Ins. Co.*, No. 08 CV 1296, 2008 WL 4822283 (W.D. La. Nov. 3, 2008), and *Arias v. Dyncorp*, 517 F. Supp. 2d 221 (D.D.C. 2007) is misplaced. Those cases involved parties seeking discovery from their opposing parties on the claims between them and the opposing parties—not, as here, a party seeking discovery on separate and distinct claims asserted by another party.

SDSAP's assertion that a subpoena may not be used to obtain documents from it because it is a party fares no better. The Commission's Rules of Practice contain no such limitation. *See* 46 C.F.R. §§ 502.131 and 132 (a) and (b) (referring to the "person to whom the subpoena is directed"). Second, SDSAP admits that even under the Federal Rules of Civil Procedure, it is advocating a "minority view." Mot. at 5. *United States v. 2121 Celeste Road SW, Albuquerque, New Mexico*, 307 F.R.D. 572, 588 (D.N.M. 2015) ("A majority of district courts...have held that a subpoena may be served on another party"); *Mortgage Info. Svcs. v. Kitchens*, 210 F.R.D. 562 (W.D.N.C. 2002) ("a Rule 45 subpoena duces tecum may properly be served on a party") *First City, Texas-Houston, N.A. v. Rafidain Bank*, 197 F.R.D. 250, 256 n.5 (S.D.N.Y. 2000), *aff'd*, 281 F.3d 48 (2d Cir. 2002), (subpoena may be served on both parties and non-parties). And as discussed above, the subpoena here focuses on SEA's claims against COSCO.

Finally, contrary to SDSAP's bald assertion (Mot. at 7), COSCO would be substantially prejudiced if the subpoena were quashed. Discovery on SEA's claims against COSCO has been proceeding for several months and fact depositions, expert discovery, and a hearing will soon follow; discovery on COSCO's Third Party claims, on the other hand, has not begun. Starting anew at a later date – whether by a request for production if the motion to dismiss is denied, or worse, through a new subpoena served under the months-long Hague Convention procedure if a motion to dismiss is granted — would create a substantial risk that COSCO would never be able to obtain the documents it needs in time to defend itself against SEA's claims.

III. SDSAP's Purported Reservation of Rights Cannot Stand.

In a footnote, SDSAP purports to "reserve all its rights to object to the specifics of the Subpoena for Documents or any similar discovery requests if SDSAP's Motion to Quash is denied." Mot. at 8 n.9. SDSAP's self-serving arrogation cannot stand. Under Rule 132(a), a motion to quash must be made within "ten 10 days after service...." 46 C.F.R. § 502.132(a). Rule

132 does not provide for serial motions, or for a separate assertion of objections.⁴ If SDSAP wished to “object to the specifics” of the subpoena, it was required to include them in its motion to quash.⁵ Furthermore, SDSAP’s purported reservation of rights would serve only one purpose: delay. SDSAP’s motion to quash should be denied and SDSAP should be ordered to produce the documents requested by the subpoena. *Samsung Electronics America, Inc. v. SM Line*, FMC Dkt. No. 23-01 (January 24, 2024 Order at 5) (denying motion to quash in most respects, and stating what response must include).

CONCLUSION

For the foregoing reasons, SDSAP’s motion to quash should be denied and SDSAP should be ordered to produce the documents sought by the subpoena.

Dated: December 5, 2025

Respectfully submitted,

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⁴ Rule 69 is in accord: “All written motions must state... the facts claimed to constitute the grounds supporting the relief requested.” 46 C.F.R. § 502.69(e).

⁵ SDSAP also purports to “reserve[] the right to file a motion for a protective order...to protect against the public disclosure” of sensitive or confidential information. Such a protective order has already been entered. ALJ Order Granting Motion for Entry of Protective Order (August 15, 2025) (Doc. 68). But if SDSAP seeks additional protection, it should have filed its motion for a protective order with its motion to quash.

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CERTIFICATE OF SERVICE

I certify that on the 5th day of December, 2025, a true and correct copy of the foregoing Opposition to SDSAP Motion to Quash was served by email on counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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